

JPM Japan Research Enhanced Index Equity Active UCITS ETF

Tickers: JREJ, JRJE

Topline

Quarterly returns	
Fund	Benchmark
▲ 14.27%	▲ 14.21%
Benchmark : MSCI Japan Index (Total Return Net)	
Market Japanese equities rose to record highs this quarter, shaped by a complex interplay of geopolitics, energy markets, monetary policy and structural growth. Market breadth, however, remained narrow, dominated by AI-related names as the capital expenditure (CapEx) cycle continued. Japan remains well positioned to benefit through its strengths in precision manufacturing, materials and components, supported by strong earnings and widespread upward estimate revisions.	
Helped Overweight positions in AI-ecosystem names.	
Hurt Overweight positions in Hoya and Sony.	
Outlook Beyond the recent narrow, AI-driven market breadth, where the outlook hinges on continued CapEx driving earnings delivery, the case for Japanese equities remains compelling as near-term headwinds dissipate, underpinned by resilient earnings, governance reform, Bank of Japan (BoJ) normalisation, a pro-growth policy agenda and a structural household rotation from cash into equities.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The Sub-Fund aims to achieve a long-term return in excess of MSCI Japan Index (Total Return Net) (the "Benchmark") by actively investing primarily in a portfolio of Japanese companies.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JREJ	USD	JREJ LN	JREJ.L	BMV7J17
London Stock Exchange	JRJE	GBX	JRJE LN	JRJE.L	BMV7J28
Borsa Italiana	JREJ	EUR	JREJ IM	JREJ.MI	BNR4SP6
Deutsche Borse	JREJ	EUR	JREJ GY	JREJ.DE	BMV7J39
SIX SWISS	JREJ	USD	JREJ SW	JREJ.S	BMV7J40

Quarter in Review

- **The portfolio outperformed the benchmark** over the quarter, with stock selection contributing to and sector allocation detracting from performance.
- **AI-related names dominated performance.** Top contributors included overweight positions in Murata Manufacturing (a maker of multi-layer ceramic capacitors (MLCC)), Tokyo Electron (SPE), Recruit (job search portal), Ajinomoto (ABF) and Sumitomo Electric Industries (optical cables and wires) among others. Another contributor was Keyence, which rose on strong order momentum coupled with strong commitment to improvement in corporate governance.
- **Detractors included Hoya (glass substrates)**, which fell as investors perceived the company as defensive and low beta as they rotated into high beta AI names. Sony also detracted as the stock price fell on continued high memory prices, which will impact their gaming margins. Underweight positions in select AI names like Ibiden (produces electronic components, printed circuit boards) and Fujikura (optical fibres) also detracted.

Looking Ahead

- **Geopolitical tensions remain a source of uncertainty.** As a net oil importer, Japan faces energy-price headwinds, and price level, rather than supply disruption, is the primary concern. Should higher oil costs feed through to broader prices, inflation could outpace wages and erode real incomes, pressuring already-stretched consumers.
- **Rengo, the trade union federation**, reported 2026 *shunto* wage growth of c.5.3%, a third consecutive year above 5%. While industrial production and consumption have improved, the durability of domestic demand hinges on real wage pass-through and future *shunto* outcomes.
- **Listed companies still hold substantial cash** despite record buybacks and the unwinding of cross-shareholdings, including in laggards such as construction and real estate. Governance reform and the return of inflation have lifted return on equity (ROE) expectations, supporting continued foreign inflows.
- **Corporate earnings remain resilient**, with many firms, particularly in tech hardware, raising full-year guidance on strong AI demand, capital-efficiency measures and currency weakness. We view this as an earnings-driven rally rather than a re-rating: record index highs have not translated into material multiple expansion, though breadth remains narrow as leadership has rotated decisively from value to growth.
- **Japan is also a primary AI beneficiary** —both as a structural answer to acute labour shortages and through a differentiated, hard-to-replicate ecosystem in AI hardware and components. We remain vigilant on the trajectory of AI-related CapEx and the earnings it generates, as we believe earnings growth will be the key driver of valuations over the medium to long term.
- **Despite near-term headwinds**, the case for Japanese equities remains compelling, underpinned by resilient earnings, governance reform, BoJ normalisation, a pro-growth policy agenda and a household rotation from cash into equities.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	YTD	1Y	3Y	Since inception
Fund	-0.16	14.27	16.09	28.39	18.18	12.65
Benchmark	-0.32	14.21	15.78	29.11	18.49	12.86
Excess return (geometric)	0.16	0.05	0.27	-0.56	-0.26	-0.19

%	2025	2024	2023
Fund	22.91	8.53	20.55
Benchmark	24.60	8.31	20.32
Excess return (geometric)	-1.35	0.21	0.19

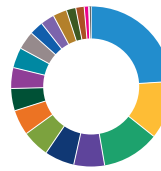
Past performance and forecast is not a reliable indicator of current and future results.

Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 29.03.2022.

Holdings

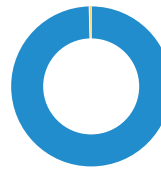
TOP 10	Sector	% of assets
Tokyo Electron	Technology	5.0
Mitsubishi UFJ Financial	Banks	4.9
Kioxia	Technology	3.6
Toyota Motor	Automobiles & Auto Parts	3.3
Sumitomo Mitsui Financial	Banks	3.2
Advantest	Technology	3.0
Murata Manufacturing	Technology	2.8
Sony	Technology	2.8
Softbank Group Corp	Media And Telecom	2.6
Hitachi	Industrial Cyclicals	2.5

Sector breakdown (%)



24.0	Technology
11.7	Industrial Cyclicals
11.6	Banks
6.2	Multi Industry
6.0	Financials Excluding Banks
5.5	Automobiles & Auto Parts
5.1	Media And Telecom
4.5	Other Basic Industry
4.2	Pharmaceuticals
4.1	Consumer Cyclical & Services
3.7	Retail
2.8	Consumer Staples
2.8	Chemical
2.8	Construction And Property
1.9	Transportation
1.7	It Services
0.9	Electric Power & Gas
0.1	Real Estate Investment Trusts
0.4	Cash

Country breakdown (%)



99.6	Japan
0.4	Cash

RISK PROFILE

The value of equity securities may go down as well as up in response to the performance of individual companies and general market conditions, sometimes rapidly or unpredictably. If a company goes through bankruptcy or a similar financial restructuring, its shares in issue typically lose most or all of their value.

Since the instruments held by the Sub-Fund may be denominated in currencies other than the Base Currency, the Sub-Fund may be affected unfavourably by exchange control regulations or fluctuations in currency rates. For this reason, changes in currency exchange rates can affect the value of the Sub-Fund's portfolio and may impact the value of the Shares.

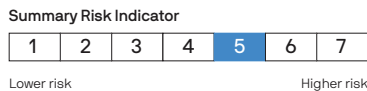
The Sub-Fund may invest in securities of smaller companies which may be less liquid, more volatile and tend to carry greater financial risk than

securities of larger companies.

Exclusion of companies that do not meet certain ESG criteria from the Sub-Fund's investment universe may cause the Sub-Fund to perform differently compared to similar funds that do not have such a policy.

The Sub-Fund seeks to provide a return above the Benchmark; however the Sub-Fund may underperform the Benchmark.

Due to the composition of the Benchmark, the Sub-Fund's portfolio may be more concentrated geographically than other Sub-Funds with more diversified portfolios and may, consequently, be subject to greater volatility than such Sub-Funds.



The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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